

Step 5: Basic Budget Worksheet

Choose a budget worksheet or online/mobile budget system that works for you. This example is a simple monthly budget. There are additional options available online that may be a better match for your needs but begin with this one to familiarize yourself with the budgeting process.

Enter your income and your expenses into the worksheet. When filling out your budget, it is important to be as accurate as you can with your *current situation* (how you spend money now).

Once you have filled it out, see if you have any money left over after all of your bills are paid. If you do not, brainstorm ways to cut expenses and save money each month.

After completing an initial budget and you don't like what you see, you can make a new budget that will help you stay on target with your goals. You may be surprised by how much money you actually spend in certain areas. These are the areas to focus on if you need to bring your expenses down.

CATEGORY	BUDGET AMOUNT	ACTUAL AMOUNT	DIFFERENCE
<u>Spendable Income:</u>			
<u>Expenses:</u>			
Rent or Mortgage			
Electricity			
Natural Gas or Oil			
Water & Sewer			
Garbage & Recycling services			
Phone(s)			
Internet			
Cable/Satellite			

Subscriptions (Netflix, Spotify, Amazon etc.)			
Credit Card Payments			
Other Loan Payments			
Transportation (Bus Pass or Gas for Car)			
Childcare			
Insurance (Auto, Health, Home, Life)			
Out of Pocket Medical Expenses			
Groceries			
Toiletries/Household Goods			
Pet Care/Food			
Dining Out			
Entertainment			
Other Expenses:			
Total ³⁸			

After filling out this basic budget, you are welcome to use more complex budgets online or on your smartphone. There are a number of free budgeting websites and apps, such as *Mint*, *PocketGuard* and *Truebill*.

³⁸ Original material from Peerlink National Technical Assistance Center.